



DIRECTIVE
FINANCIAL SERVICES BOARD
REPUBLIC OF SOUTH AFRICA

LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998)

SHORT-TERM INSURANCE ACT, 1998 (ACT 53 OF 1998)

Addressee:	Long-term & short-term insurers		Reference:	10/17/1 & 10/7/1/3/B
Edition	Issue Date	Effective Date	Directive	Status
1 st	8 September 2003	1 December 2003	126.A.i (LT&ST)	In force
2 nd				
3 rd	-		-	-

DIRECTIVE ON POLICY REGARDING ASSETS HELD ON BEHALF OF REGISTERED INSURERS IN TERMS OF SECTION 34(1) (b) OF THE LONG-TERM INSURANCE ACT AND SECTION 33(1)(b) OF THE SHORT-TERM INSURANCE ACT

1. Purpose of this directive

The above sections of the Acts determine that a registered insurer shall not allow its assets to be held by another person on its behalf without the approval of the Registrar, given generally or in a particular case, and subject to such conditions as the Registrar may determine.

Standing approvals in terms of the above sections of the Acts is hereby granted to insurers. This standing approval is subject thereto that the minimum conditions, as set out in this directive, for both South Africa and Foreign Nominees Companies are at all times adhered to.

2. Transitional arrangement

Circular R.V. 126 dated 6 May 1997 and all subsequent amendments will be withdrawn from the effective date of this directive.

Insurers need to ensure that the minimum conditions are complied with and that all contracts, approvals and evidence of compliance are available at the insurers premises. Insurers will be granted time until 1 December 2003 to ensure that all the conditions are complied with.

3. Policy regarding assets held on behalf of registered insurers

3.1 SOUTH AFRICA NOMINEE COMPANIES:-

Where an insurer's assets are registered in the name of and held by an approved South African nominee company, the conditions will be as follows: -

Nominee companies will be approved according to the REQUIREMENTS IMPOSED BY THE FINANCIAL SERVICES BOARD (FSB) FOR NOMINEE COMPANIES TO OPERATE IN SOUTH AFRICA as published in Notice 6 of 2002 of Government Gazette No 22994 dated 4 January 2002 ("requirements"). According to clause 6 of the requirements a register of all approved nominee companies, specifying the categories of approval, will be maintained by the FSB. This register may be accessed on the FSB website at www.fsb.co.za.

The Board of Directors of the insurer shall:

- (a) Determine that the holding of the insurer's assets in one or more of the approved nominee companies is in the best interests of the insurer's policyholders, and review the situation annually;
- (b) Approve, a written contract to be concluded between the insurer and each nominee company to govern the manner in which such approved nominee company will hold the insurer's assets and which will provide *inter alia* for the following:
 - (i) The categories of assets which may be held by the nominee company on behalf of the insurer;
 - (ii) The procedures for the handing over of the documents to and the transfer thereof into the name of the nominee company as well as the procedures for the return of the documents to and the transfer thereof into the name of the insurer;
 - (iii) Decision on who will have the voting rights attached to securities of the insurers registered in the name of the nominee company;
 - (iv) Regular (not less frequent than monthly) reports by the nominee company to the insurer reflecting movements in assets for the period as well as those held at the closing date of the report and the market values thereof;
 - (v) Adequate records will be maintained identifying the assets held on behalf of the insurer;
 - (vi) The nominee company will be indemnified by a fidelity guarantee cover and the script evidencing title to ensure all assets are adequately insured in the event of loss through fire, theft and the like;

- (vii) Cancellation or Termination clause;
- (viii) Should there be any change to the approval status obtained from the FSB the nominee company is responsible to inform the insurer timely.
- (c) Establish a system to monitor the nominee agreements to ensure compliance with the aforementioned conditions and ensure documentary evidence that the Board of the insurer monitor the compliance at least annually;
- (d) Establish with the approved auditors of the insurer that the arrangements set out in the agreement will enable the auditors to fulfill their duties in terms of the Long-term Insurance Act, 1998 and Short-term Insurance Act, 1998;
- (e) Where they have determined that a nominee can no longer be considered eligible in terms of these requirements or that continuance of the arrangement would not otherwise be in the best interests of the insurer's policyholders the insurer must transfer its assets from the nominee company in the name of the insurer or another approved nominee company as soon as reasonably practicable; and
- (f) Duly authorise the person signing the agreement on behalf of the insurer at a meeting of the Board of Directors and such authorisation must be mentioned in the agreement.

3.2 FOREIGN NOMINEE COMPANIES: -

Where assets are registered in the name of and held by a foreign nominee company, custodian or subcustodian on behalf of an insurance company registered in South Africa, the conditions will be as follows:

- 3.2.1 An insurer registered under the Long-term Insurance Act, 1998 and an insurer registered under the Short-term Insurance Act, 1998, may choose a foreign nominee company, custodian or sub-custodian for the safe custody and administration of its foreign assets provided that:

The Board of Directors of the insurer shall:

- (a) Determine that holding the insurer's assets in a particular country or countries with a particular foreign nominee company, custodian or subcustodian is in the best interests of the insurer's policyholders and review the situation annually;
- (b) Determine that the foreign nominee company, custodian or subcustodian is properly regulated and have a good standing with the relevant regulator; and
- (c) Approve, of a written contract, which will govern the manner in which such nominee company, custodian or sub custodian will hold the insurer's assets and which inter alia ***provides that:***

- (i) The foreign nominee company, custodian or subcustodian must be indemnified by fidelity guarantee cover and the script evidencing title to ensure all the assets it holds are adequately insured in the event of loss through fire theft and the like;
 - (ii) The assets hold on behalf of the insurer will not be subject to any right, charge, security interest, lien or claim of any kind in favour of the foreign nominee company, custodian, subcustodian or its creditors except a claim of payment for their safe custody or administration.
 - (iii) Beneficial ownership of the assets held on behalf of the insurer must be freely transferable without the payment of money or value other than for safe custody, transfer cost or administration;
 - (iv) Adequate records will be maintained identifying the insurer's assets held on behalf of the insurer;
 - (v) The insurer's approved auditors will be given access to all relevant records or confirmation of the contents of all relevant records to enable the auditors to fulfil their duties in terms of the Long-term Insurance Act, 1998 and Short-term Insurance Act, 1998; and
 - (vi) The insurer will receive regular (not less frequent than monthly) reports with respect to the safekeeping of the insurer's assets, including, but not necessarily limited to, notification of any transfer to or from the insurer's account;
 - (d) Establish a system to monitor the foreign nominee company, foreign custody or sub custodian arrangement to ensure compliance with the aforementioned conditions and ensure documentary evidence that the Board of the insurer approve the compliance of the system annually;
 - (e) Where they have determined that a foreign nominee company, custodian or subcustodian can no longer be considered eligible in terms of these requirements or that continuance of the arrangement would not be in the best interests of the insurer's policyholders and shareholders, transfer its assets from the care of that nominee company, custodian or subcustodian as soon as reasonably practicable, but not exceeding 180 days of the date when the directors made the determination.
- 3.2.2 As used herein,
- (a) "Foreign Asset" means an asset purchased and sold primarily outside South Africa and which asset is held by the insurer for purposes of sections 30 and 31 of the Long-term Insurance Act, 1998 and sections 29 and 30 of the Short-term Insurance Act, 1998.
 - (b) "Foreign nominee company, custodian or sub custodian" means:
 - (i) an entity which performs the activity of safeguarding and administering investments belonging to another (custodian function),

- (ii) incorporated in a foreign country or organised under the laws of a country other than South Africa, that is regulated as such by that country's government or an agency thereof.

3.2.3 Considerations

Those determinations that the Board of Directors of a registered insurer are responsible for in connection with approving foreign custody arrangements, shall be made only after consideration of all matters which the directors in carrying out their fiduciary duties, find relevant including but not necessarily limited to the following:

- (a) With respect to the selection of the country where the insurer's assets will be held, the Board of Directors should consider:
 - (i) Whether applicable foreign law would restrict the access of the insurer or its approved auditors to books and records kept by an eligible foreign nominee company, custodian or sub custodian located in that country;
 - (ii) Whether applicable foreign law would restrict the insurer's ability to recover its assets in the event of the bankruptcy of an eligible foreign nominee company, custodian or sub custodian located in that country;
 - (iii) Whether applicable foreign law would restrict the insurer's ability to recover assets that are lost while under the control of an eligible foreign nominee company, custodian or sub custodian located in that country;
 - (iv) The likelihood of expropriation, nationalization, freezing or confiscation of the insurer's assets; and
 - (v) Whether difficulties in converting the insurer's cash and other assets to the Rand are reasonably foreseeable; and
- (b) With respect to the selection of a foreign nominee company, custodian or subcustodian, the Board of Directors of an insurer should consider:
 - (i) The financial strength of the foreign nominee company, custodian or subcustodian, its general reputation and standing in the country in which it is located, its ability to provide efficiently the custodial services required and the relative cost for those services;
 - (ii) Whether the foreign nominee company, custodian or subcustodian would provide a level of safeguard for holding the insurer's assets that is not materially different from that provided by the insurer's South African nominee company in holding the insurer's assets in South Africa;
 - (iii) Whether the foreign nominee company, custodian or subcustodian has branch offices in South Africa in order to facilitate the assertion of jurisdiction over and enforcement of judgements against such nominee company, custodian or subcustodian; and
 - (iv) In the case of a foreign securities depository, the number of participants in and the operating history of, the depository.

- 3.2.4 The extent of a South African insurer's exposure to loss as a result of an arrangement described in this document and the potential effect thereof on policyholders and shareholders should be disclosed, if material, as **a note to the insurer's statutory returns**.

4. Information required, Revocation and Amendments

Please take note that this office –

- (a) may at any time revoke this approval or amend any conditions subject to which approval was granted or impose new conditions;
- (b) from time to time may require insurers to furnish this Office with information concerning any matter regarding the holding of assets on their behalf;
- (c) requires that all contracts, approvals and evidence of compliance should be available to the FSB at request and when carrying out on-site supervision activity;
- (d) requires full details of all nominee companies, custodians or subcustodians to be correctly completed in the annual statutory return for long-term insurance business short-term insurance business.

5. Information sharing of directive

This directive is available on the website of the FSB (www.fsb.co.za) and the insurer must bring it to the attention of its auditors (appointed under section 19 of the Act) and the statutory actuary (where one is appointed under section 20 of the Act).

